BEAUTY PORTFOLIO

KPI Performance Insights & Analytics

5 Core Insights · Data Analyst Perspective · AB Testing & Validation Roadmap

+33.7%	7.5% ▼	17.0% ▲	29.8% ▲
Revenue Growth	EBIT Margin	Adv Intensity	Discount Rate

THE CORE PARADOX

Revenue up. Profit nearly halved.

Revenue Growth	
Last Year	Base
Budget	+28.0%
Actual	**+33.7%**

✔ Beat by +5.7pp

EBIT ($)	
Last Year	$38.9K
Budget	$56.9K
Actual	**$25.5K**

⚠️ Miss by −$31.4K

EBIT Margin %	
Last Year	15.0%
Budget	17.0%
Actual	**7.5%**

⚠️ Miss by −9.5pp

Key question for every analyst: Is this growth sustainable, or was it bought with discounts and advertising?

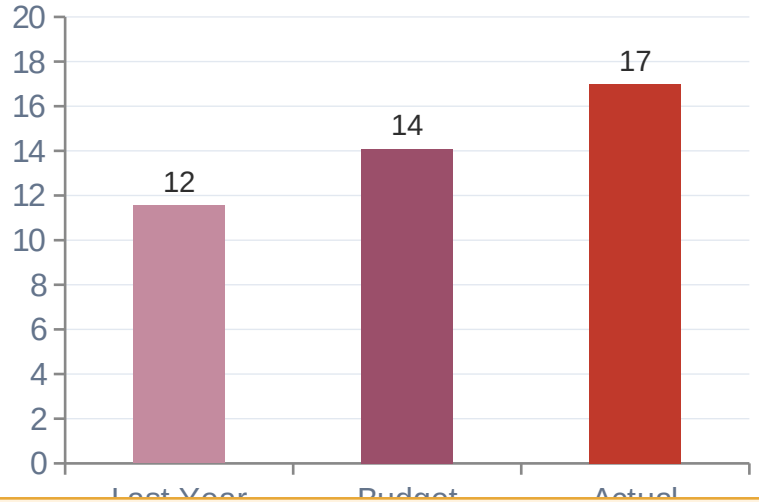
INSIGHT 1

Advertising: The Biggest Cost Jump vs Last Year

+92%

Ad + promo spend
vs Last Year

$10.5K overrun
vs budget

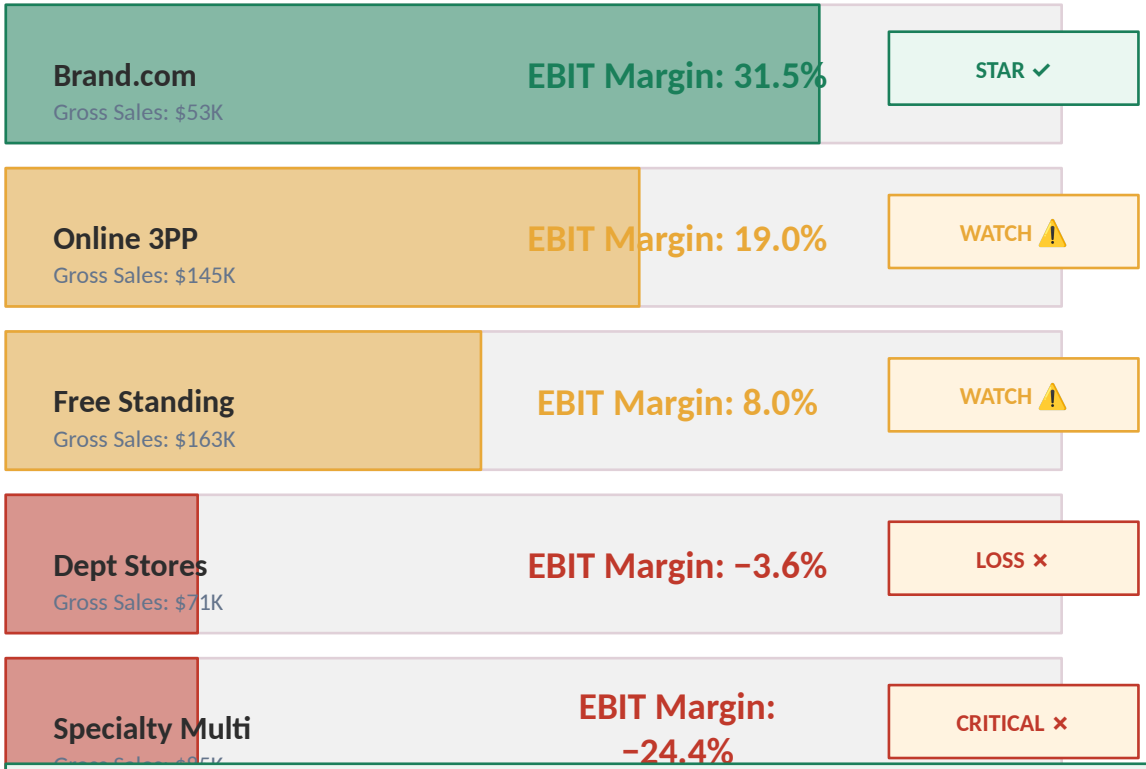


- 11.6% → 17.0% — jumped 5.4pp in one period
- One of 3 overruns behind the $31K EBIT miss (with selling & store costs)
- MAC alone overspent its ad + promo budget by $3.4K
- Online 3PP ad + promo +$12K vs budget — biggest offender

💡 DA Action: Set hard per-brand ad caps. Redirect 20% of Online 3PP budget → Brand.com (owned, 31.5% EBIT margin vs 19.0%). Run an A/B test on ad spend levels to measure incremental revenue response.

INSIGHT 2

Channel Mix: Two Channels Are Destroying Value



The Math

Specialty Multi lost $11K EBIT
Dept Stores lost $1.5K EBIT
Combined loss: −$12.5K
Brand.com generates $10.1K on only $53K gross sales
Shifting mix toward owned channels = direct profit recovery

💡 DA Action: A/B test exit strategy for Specialty Multi — pilot a 3-month pause and measure portfolio EBIT impact. Focus group with Specialty Multi shoppers to understand if they migrate to Brand.com or are lost entirely.

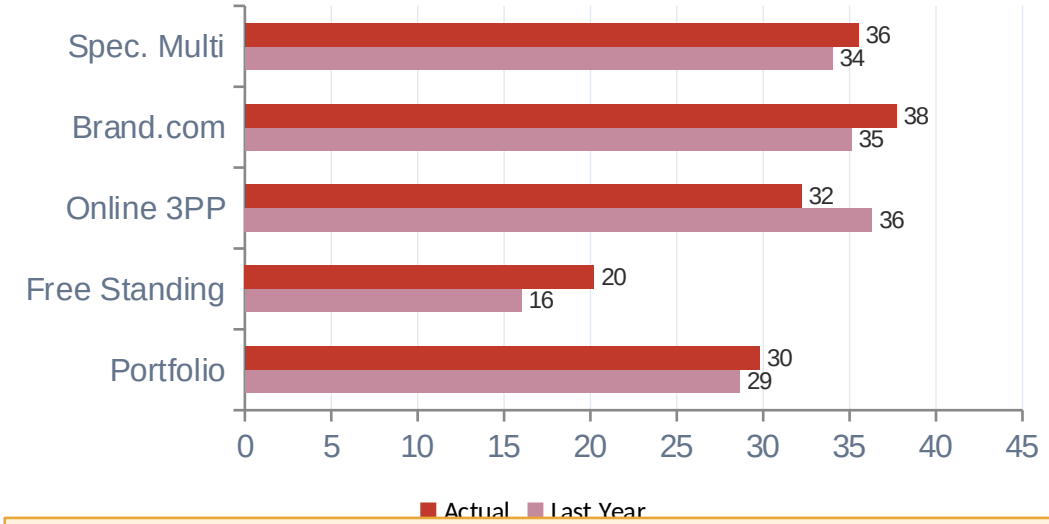
INSIGHT 3

Discount Rate: A Silent Cash Drain

Every 1pp of discount =

~$5.2K less cash

directly into the business



Free Standing ▲

Discount jumped 16% → 20.2%
+4.2pp vs last year
Driving margin erosion in largest channel by revenue

Specialty Multi

35.5% discount rate
2nd-highest (Brand.com: 37.7%)
Almost every $3 of gross sales gives $1 back as discount

Budget vs Actual

29.8% actual vs 28% budget
+1.83pp overrun = ~$9.5K cash left on the table

💡 DA Action: A/B test loyalty program vs. blanket discounting on Brand.com. Hypothesis: loyalty rewards retain repeat customers at lower discount cost. Quantify via incrementality test (holdout group methodology).

INSIGHT 4

Brand Polarization: Stars, Strugglers & Loss-Makers

The Ordinary

⭐ STAR

EBIT Margin	GP Margin	Rev Growth
21.2%	52.4%	+284%

Estee Lauder

⚠️ LOW

EBIT Margin	GP Margin	Rev Growth
3.8%	62.6%	+30%

MAC

⚠️ WATCH

EBIT Margin	GP Margin	Rev Growth
11.7%	74%	+29%

Jo Malone

× LOSS

EBIT Margin	GP Margin	Rev Growth
-10%	72%	+10%

Tom Ford

⚠️ WATCH

EBIT Margin	GP Margin	Rev Growth
6.9%	57.3%	+43%

Clinique

× LOSS

EBIT Margin	GP Margin	Rev Growth
-6.5%	59.9%	+18%

💡 DA Action: Focus group with Clinique & Jo Malone consumers — are they price-driven or brand-loyal? Their high GP margins (60–72%) signal the cost base is fine; the problem is operating cost and channel fit, not the product.

INSIGHT 5

Revenue Quality: Growth Fueled by Spend, Not Efficiency

The Revenue Quality Matrix

Metric	Budget	Actual	Signal
Gross Sales	$494.6K	$516.8K	✔ +$22.2K
Net Sales (after discounts)	$335.1K	$339.7K	✔ +$4.6K only
Gross Profit	$223.4K	$225.5K	✔ +$2.1K only
EBIT	$56.9K	$25.5K	✖ −$31.4K
Ad + Promo Spend	$47.2K	~$57.7K	⚠️ +$10.5K over

$22K gross sales gained

but only $4.6K reached net sales

DA Framework: Revenue Quality Score

Net Sales ÷ Gross Sales (current: 65.7%) · EBIT ÷ Gross Sales (current: 4.9%) · GP ÷ Ad Spend (current: 3.9×) → All three declining YoY.

DATA ANALYST LENS

What to Test, Measure & Validate

🧪 A/B Testing

Ad Spend Level Test

Test 3 ad budget tiers (−20%, flat, +20%) across Online 3PP brands. Measure: incremental revenue per $ spent (ROAS). Success = identify the saturation point.

Discount vs Loyalty

Split Brand.com shoppers: Group A gets 10% discount, Group B gets loyalty points of equal value. Measure: repeat purchase rate, CLV, net revenue after cost.

Channel Shift Pilot

Shift 15% of Specialty Multi budget → Brand.com for one brand (e.g. MAC). Measure EBIT delta over 60 days. Extrapolate to full portfolio.

👥 Focus Groups

Clinique & Jo Malone

Both have strong GP margins (60–72%) but negative EBIT. Focus group goal: understand price sensitivity. Are customers loyal to brand or to channel convenience?

Specialty Multi Shoppers

35.5% discount rate — who are these customers? Test if they'd shop Brand.com at full price. If yes, channel exit is viable. If no, assess negotiation with retailer.

Free Standing Store UX

Store costs rose $9.5K vs LY. Qualitative research on what's driving visits: is footfall up or are conversion rates poor? Data alone can't answer this.

📊 Metrics to Track

Revenue Quality Score

EBIT ÷ Gross Sales. Currently 4.9% — set a floor of 8%. Alert if any brand or channel drops below.

Ad Efficiency Ratio

Gross Profit ÷ (Adv + Promo). Currently 3.9×. Target: ≥5×. Trend this weekly during campaign periods.

Discount Rate Variance

Track weekly vs budget per channel. Trigger review if any channel exceeds budget by +1pp. Automate flag in BI dashboard.

5 INSIGHTS — WHAT TO DO NEXT

1

Cap Advertising Spend

Set hard per-brand ad budgets. A/B test spend levels to find ROAS saturation.

Adv Intensity → <13%

2

Restructure Channel Mix

Pilot Specialty Multi exit or renegotiation. Grow Brand.com. Test customer migration.

EBIT recovery: +$12.5K

3

Reduce Discount Rate

A/B: loyalty program vs price discounts. Target 2pp reduction = ~$10K cash impact.

Discount → <28%

4

Turnaround Clinique/Jo Malone

Focus groups to diagnose. High GP margins suggest channel/cost issue, not product.

EBIT from negative → 0%+

5

Track Revenue Quality Score

Monitor EBIT÷GS, GP÷AdSpend weekly. Don't just track top-line growth.

EBIT Margin → >12%